

Conservatism Bias

To invest successfully over a lifetime does not require a stratospheric IQ, unusual business insight, or inside information. What's needed is a sound intellectual framework for decisions and the ability to keep emotions from corroding that framework.

—Warren Buffett

BIAS DESCRIPTION

Bias Name: Conservatism

Bias Type: Cognitive

Subtype: Belief perseverance

General Description

Conservatism bias is a mental process in which people cling to their prior views or forecasts at the expense of acknowledging new information. For example, suppose that an investor receives some bad news regarding a company's earnings and that this news negatively contradicts another earnings estimate issued the previous month. Conservatism bias may cause the investor to *underreact* to the new information, maintaining impressions derived from the previous estimate rather than acting on the updated information. Investors persevere in a previously held belief rather than acknowledging new information; this is again a variation on the cognitive dissonance theme described in Chapter 4.

Technical Description

Conservatism causes individuals to overweight base rates and to underreact to sample evidence. As a result, they fail to react as a rational person would